POLICY | GOVERNMENT SUPPORT

Crop Insurance for Paddy: The AAIB Schemes

What the Agricultural and Agrarian Insurance Board covers, what it does not, and where a farmer reports a loss.

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Teaching edition for the STEMLink AI Engineer Bootcamp, compiled from official Sri Lankan sources (Department of Agriculture and RRDI web pages, Agricultural and Agrarian Insurance Board, Cabinet decisions as reported), accessed 3 October 2026. Sources are listed in the corpus README, not in this document.

1. The insurer

The Agricultural and Agrarian Insurance Board (AAIB) is the state institution that provides agricultural insurance for farmers in Sri Lanka. It works with the Ministry of Agriculture and the Department of Agrarian Development in assessing crop damage.

2. Compulsory crop insurance

Since the Yala season of 2018, six crops are covered by a compulsory scheme whose premium is paid by the government: paddy, maize, chilli, potato, big onion and soya. The cover is Rs. 40,000 per acre, and only for damage from floods, drought and wild elephants. In 2021 this scheme applied to farmers registered for the fertiliser subsidy through Agrarian Service Centres.

Insect damage, diseases, fire and other wild animals are not part of the government funded cover. AAIB offers them as additional risks for an extra premium.

3. Voluntary cover

Because the cost of cultivation has risen, the AAIB states that a cover of about Rs. 100,000 per acre is needed, and offers it under its crop insurance scheme for a minimum premium of Rs. 6,400. A farmer who has not taken voluntary cover is compensated at the compulsory scheme's Rs. 40,000 per acre for covered damage.

4. Where to go

A farmer seeking insurance or reporting a loss contacts the AAIB district office, an AAIB representative, or the Agricultural Research and Production Assistant officer for the area.

ADVISORY USE

AgriVibe may explain which risks the compulsory scheme covers and route the farmer to the AAIB. It must not tell a farmer that a particular loss will be compensated: that is decided by the AAIB's damage assessment. Satellite evidence of a decline does not establish the cause of a loss (AV-POL-01).